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1. Aggregate corporate savings, economic uncertainty, and future stock returns

Authors: Yuanzhen Lyu

DOI: [10.1016/j.jfineco.2026.104329](https://doi.org/10.1016/j.jfineco.2026.104329)

Fields & Theories:

- **Fields:** Asset Pricing, Corporate Finance, Macro-Finance
- **Theories:** Precautionary Savings, Neoclassical Dynamic Model, Time-varying Price of Risk, Return Predictability

Abstract:

I document robust U.S. and international evidence that aggregate corporate cash savings negatively forecast future excess market returns, with economic uncertainty an important driver of this relation. In a calibrated neoclassical dynamic model featuring precautionary savings, I show that fixed financing costs, firm exit, and an uncertainty-driven time-varying price of risk are crucial to replicating this return predictability. The model further implies that the well-known positive return predictive power of aggregate accruals is largely attributable to aggregate cash savings, and the data support this implication.

[Aggregate-corporate-savings--economic-uncertainty-_2026_Journal-of-Financial.pdf](#)

2. Angels, entrepreneurship, and employment dynamics: Evidence from investor accreditation rules

Authors: Laura Lindsey, Luke C.D. Stein

DOI: [10.1016/j.jfineco.2026.104323](https://doi.org/10.1016/j.jfineco.2026.104323)

Fields & Theories:

- **Fields:** Corporate Finance, Entrepreneurial Finance, Financial Intermediation, Labor Finance
- **Theories:** Natural Experiment, Difference-in-Differences, Financial Constraints, Regulatory Impact

Abstract:

This paper examines the effects of a shock to angel finance on entrepreneurial activity. Using U.S. Census data, we estimate the state-level fraction of households that lost accreditation status from Dodd–Frank’s elimination of housing wealth in determining accreditation. A larger reduction in the pool of potential investors reduces angel investment, firm entry, and employment at small entrants. Employment increases at small and young incumbents, suggesting competitive effects. Though we document partial substitution, angel finance appears to complement other capital sources in the entrepreneurial ecosystem. Our paper offers insight on the impact of angel finance and where it matters most.

[Angels--entrepreneurship--and-employment-dynamics--Ev_2026_Journal-of-Financ.pdf](#)

3. Appropriated growth

Authors: Yuchen Chen, Xuelin Li, Richard T. Thakor, Colin Ward

DOI: [10.1016/j.jfineco.2025.104207](https://doi.org/10.1016/j.jfineco.2025.104207)

Fields & Theories:

- **Fields:** Corporate Finance, Labor Finance, Innovation
- **Theories:** Dynamic Agency Theory, Moral Hazard, Optimal Contracting, Knowledge Appropriation

Abstract:

We assess how labor mobility affects intangible investment in a dynamic agency model featuring both knowledge appropriation and moral hazard. We argue that restricting worker mobility, while reducing employees’ appropriation of firm intangible capital, can hurt their incentives to exert effort. Our calibration to U.S. data

targets responses of employee turnover and firms' intangible investment to variations in workers' outside option values, identified through exogenous shocks to non-compete enforcement. The model simulation shows that knowledge spillovers mitigate the costs of incentive provision when agency frictions are severe, and the optimal labor mobility regulation should balance this benefit against turnover risk. Finally, we highlight the use of deferred compensation bonuses in the optimal contract as a retention mechanism, even among under-performing firms.

Appropriated-growth_2026_Journal-of-Financial-Economics.pdf

4. Are patents with female inventors under-cited? Evidence from text estimation

Authors: Yael V. Hochberg, Ali Kakhbod, Peiyao Li, Kunal Sachdeva

DOI: [10.1016/j.jfineco.2026.104307](https://doi.org/10.1016/j.jfineco.2026.104307)

Fields & Theories:

- **Fields:** Innovation, Behavioral Finance, Gender in Finance
- **Theories:** Machine Learning, Gender Bias, Market Reaction, Textual Analysis

Abstract:

Utilizing leading machine learning techniques to analyze the textual content and quality of patents, we demonstrate that patents with female lead inventors are under-cited relative to what would be expected had the lead inventor been male. Male inventors are the greatest contributors to the undercitation of patents with female inventors, followed by female inventors and male examiners, while female patent examiners appear to be even-handed. Using market reactions to patents suggests no average difference in market value by the inventor's gender. The results have potential implications for research conclusions that rely on citation-based assessments of patent quality.

Are-patents-with-female-inventors-under-cited--Evid_2026_Journal-of-Financia.pdf

5. Asymmetric thin markets

Authors: Vincent Fardeau

DOI: [10.1016/j.jfineco.2026.104319](https://doi.org/10.1016/j.jfineco.2026.104319)

Fields & Theories:

- **Fields:** Market Microstructure, Asset Pricing
- **Theories:** Strategic Trading, Risk Sharing, Price Impact, General Equilibrium

Abstract:

Using a new equilibrium representation, I characterize dynamic, nonstationary risk sharing in a complete information setting among strategic traders submitting demand schedules and heterogeneous in risk aversion. In equilibrium, more risk-averse (smaller) traders diversify more aggressively due to endogenously lower price impact. This creates term structure effects, where smaller traders dynamically hedge the persistent order flow of larger, slower traders and become the marginal pricers at short horizons. When pre-announced security issuances (e.g., bond reopenings) or predictable trades take place, the model generates the gradual, V-shaped price response observed around these events and delivers new predictions about institutional trading.

Asymmetric-thin-markets_2026_Journal-of-Financial-Economics.pdf

6. Bank consolidation and uniform pricing

Authors: João Granja, Nuno Paixão

DOI: [10.1016/j.jfineco.2025.104204](https://doi.org/10.1016/j.jfineco.2025.104204)

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Financial Regulation

- **Theories:** Structural Modeling, Antitrust Theory, Uniform Pricing

Abstract:

We evaluate how bank mergers affect consumer welfare when banks set deposit rates with a high degree of uniformity across their branch networks. First, we document that merger-induced changes to local market concentration are only weakly correlated with pricing decisions. Second, we develop a structural model of the banking sector to simulate equilibrium post-merger deposit rates with and without uniform pricing. The simulated deposit rates from the model with uniform pricing best match the observed changes in deposit rates following bank mergers. We use the model to evaluate antitrust decisions that force acquirers to divest branches in order to contain local market concentration levels. Our counterfactual exercises suggest that forced divestitures sometimes improve consumer welfare but can also impose consumer welfare losses when antitrust regulators do not consider that uniform pricing practices might lead to better deposit rates at acquired branches after a merger.

Bank-consolidation-and-uniform-pricing_2026_Journal-of-Financial-Economics.pdf

7. Blended finance

Authors: Caroline Flammer, Thomas Giroux, Geoffrey M. Heal

DOI: [10.1016/j.jfineco.2026.104321](https://doi.org/10.1016/j.jfineco.2026.104321)

Fields & Theories:

- **Fields:** Sustainable Finance, ESG, Financial Intermediation, International Finance
- **Theories:** Information Asymmetry, Contract Theory, Risk Management

Abstract:

Blended finance—the use of public and philanthropic funding to crowd in private capital—has emerged as a potential tool for financing sustainable development. Yet little is known about the design of blended finance contracts. We develop a conceptual framework in which development finance institutions (DFIs) allocate concessional capital across projects to maximize societal impact while crowding in private investors. Our framework highlights a trade-off between sustainability impact and the amount of concessionality required to make projects commercially viable and characterizes how DFIs optimally combine different instruments, including concessional debt, junior equity tranches, and risk management facilities. We then provide empirical evidence on blended finance using deal-level data from a major DFI. Consistent with our conceptual framework, projects with higher anticipated sustainability impact receive greater concessionality. Moreover, concessionality is higher in countries with greater political risk and information asymmetries, and these projects are more likely to include risk management provisions. Our findings provide new evidence on how DFIs deploy catalytic capital to mobilize private investment in sustainable development.

Blended-finance_2026_Journal-of-Financial-Economics.pdf

8. Board connections, firm profitability, and product market actions

Authors: Radhakrishnan Gopalan, Renping Li, Alminas Žaldokas

DOI: [10.1016/j.jfineco.2026.104332](https://doi.org/10.1016/j.jfineco.2026.104332)

Fields & Theories:

- **Fields:** Corporate Finance, Corporate Governance
- **Theories:** Information Asymmetry, Social Network Theory, Collusion

Abstract:

A firm's gross margin increases by 0.8 p.p. after forming a new direct board connection to a product market peer. Gross margin also rises by 0.4 p.p. after a connection is formed to a peer indirectly through a third intermediate firm. Further, using barcode-level data of 2.7 million products, we show that new board connections are related to higher consumer good prices, a greater tendency for market allocation, and slower new product introductions. The effects are stronger when the newly connected peers share corporate customers

or have similar business descriptions and hold when controlling for other inter-firm relationships.

Board-connections--firm-profitability--and-produ_2026_Journal-of-Financial-E.pdf

9. Bonding with risk: Corporate investment and savings in risky financial assets

Authors: Teng Huang, Stefano Sacchetto

DOI: [10.1016/j.jfineco.2026.104283](https://doi.org/10.1016/j.jfineco.2026.104283)

Fields & Theories:

- **Fields:** Corporate Finance, Asset Pricing
- **Theories:** Precautionary Savings, Hedging, Dynamic Model

Abstract:

We study the rationale behind firms' investment in risky financial assets by formulating and estimating a dynamic model in which firms allocate their precautionary savings to both safe and risky securities. In equilibrium, risky financial asset holdings are positively related to the sensitivity of a firm's financing deficit to the risky asset returns—the 'financing deficit beta'. Using a comprehensive sample of US corporate financial asset holdings, we find evidence of a positive correlation between risky financial asset holdings and financing deficit betas that capture firms' incentives to hedge interest-rate risk. Precautionary motives are stronger in small, high-volatility, and R&D-intensive firms.

Bonding-with-risk--Corporate-investment-and-savings_2026_Journal-of-Financia.pdf

10. Carbon VIX: Carbon price uncertainty and decarbonization investments

Authors: Maximilian Fuchs, Johannes Stroebe, Julian Terstegge

DOI: [10.1016/j.jfineco.2026.104328](https://doi.org/10.1016/j.jfineco.2026.104328)

Fields & Theories:

- **Fields:** Sustainable Finance, ESG, Asset Pricing, Corporate Finance
- **Theories:** Real Options Theory, Uncertainty, Derivatives Pricing

Abstract:

We study the effects of carbon price uncertainty on firms' decisions to decarbonize their operations. We first use information on the pricing of options on emission allowances in the European Emissions Trading System to create the Carbon VIX, a market-based high-frequency measure of carbon price uncertainty. Carbon price uncertainty is high, varies substantially over time, and experiences persistent shocks around major climate policy events. To explore the effects of carbon price uncertainty on expected aggregate decarbonization investments, we analyze its effect on the stock returns of firms that help other businesses decarbonize. To identify these 'carbon solution providers', we extract common types of decarbonization investments from a large survey of firms, and then identify companies that offer the associated goods and services. We find that the stock returns of these carbon solution providers vary positively with carbon prices, but negatively with carbon price uncertainty. The effect of increases in carbon price uncertainty on our proxy for expected decarbonization investments is economically large and of similar magnitude as the effect of declines in carbon prices. These findings support predictions from real options theory that firms may delay investments in decarbonization when faced with uncertainty about the future costs of emissions.

Carbon-VIX--Carbon-price-uncertainty-and-decarbon_2026_Journal-of-Financial-.pdf

11. Cashless payment and financial inclusion

Authors: Shumiao Ouyang

DOI: [10.1016/j.jfineco.2026.104277](https://doi.org/10.1016/j.jfineco.2026.104277)

Fields & Theories:

- **Fields:** Financial Intermediation, Fintech, Household Finance, BigTech
- **Theories:** Natural Experiment, Information Asymmetry, Staggered Rollout

Abstract:

This paper investigates how cashless payment affects credit access for underserved populations using data from Alipay, a leading Chinese BigTech platform with over 1 billion users that offers a wide range of financial services. By exploiting the staggered rollout of Alipay-bundled shared bikes across cities as a natural experiment and analyzing a representative Alipay user sample, I find that cashless payment adoption increases credit access by 56.3% and that a 1% rise in payment flow increases credit lines by 0.41%. These effects are stronger for less educated and older individuals, who have traditionally faced greater barriers to accessing financial services.

Cashless-payment-and-financial-inclusion_2026_Journal-of-Financial-Economics.pdf

12. Changing the board game: Horizontal spillovers of gender quotas

Authors: Luigi Guiso, Fabiano Schivardi, Luana Zaccaria

DOI: [10.1016/j.jfineco.2026.104326](https://doi.org/10.1016/j.jfineco.2026.104326)

Fields & Theories:

- **Fields:** Corporate Finance, Corporate Governance, Gender Diversity
- **Theories:** Spillover Effects, Difference-in-Differences, Interlocking Directorates

Abstract:

We examine the effects of mandatory board gender quotas on unregulated firms that are connected to regulated ones via interlocking directorates. After the introduction of quotas, connected firms significantly increase their share of female directors relative to similar unconnected firms. The spillover effects are substantial—at least as large as the direct effects on regulated firms, challenging previous claims that quotas have no broader impact on women in business. Our results suggest that quotas indirectly broaden the supply of candidates for connected firms, along dimensions that include, but are not limited to, gender.

Changing-the-board-game--Horizontal-spillovers-o_2026_Journal-of-Financial-E.pdf

13. Committing to trade: A theory of intermediation

Authors: Francesco Sannino

DOI: [10.1016/j.jfineco.2026.104249](https://doi.org/10.1016/j.jfineco.2026.104249)

Fields & Theories:

- **Fields:** Financial Intermediation, Market Microstructure, Information Economics
- **Theories:** Adverse Selection, Search Theory, Information Asymmetry

Abstract:

In a ‘lemons’ market, a shock to gains from trade precedes the buyers’ offer. Lower gains exacerbate adverse selection. Trading with intermediaries before observing the shock commits sellers not to keep high-quality assets in such states, improving surplus despite impeding efficient use of information. To add value, intermediaries need not possess superior skills or information. If sellers choose intermediaries to overcome search frictions, traded assets’ quality and welfare increase with search costs. The theory offers a novel perspective on the underwrite-to-distribute model in leveraged loans, and predicts that dealers’ shift from market-making to match-making may worsen adverse selection in over-the-counter markets.

Committing-to-trade--A-theory-of-intermedia_2026_Journal-of-Financial-Econom.pdf

14. Constrained by law: The impact of fiduciary duties on portfolios and prices in US equity markets

Authors: Stefano Cassella, A. Emanuele Rizzo, Oliver G. Spalt, Leah Zimmerer

DOI: [10.1016/j.jfineco.2025.104227](https://doi.org/10.1016/j.jfineco.2025.104227)

Fields & Theories:

- **Fields:** Asset Pricing, Financial Regulation, Institutional Investors
- **Theories:** Inelastic Markets, Portfolio Diversification, Difference-in-Differences

Abstract:

We study the equity market implications of a reform in the fiduciary laws that govern trust investments (prudent man laws), implemented in a staggered fashion across U.S. states from 1985 to 2006. As trusts account for a substantial fraction of institutional equity holdings in our sample period, and since the reform does not pertain to other investors, our empirical setting provides a rare opportunity to study the impact of a regulatory change on institutional investor holdings and relative prices in the U.S. equity market. We show that, before the reform, trusts tilt their portfolios towards prudent stocks. After the law change, trusts undo these tilts, which leads to substantial changes in portfolio performance, investor demand, and stock returns, consistent with a model of inelastic equity markets. More broadly, our paper documents a striking case of investment distortions: while the concept of diversification has been playing a key role in asset pricing theory since the 1950s, fiduciary duties severely constrained trusts' ability to diversify their portfolios for up to half a century later.

Constrained-by-law--The-impact-of-fiduciary-duties-on-_2026_Journal-of-Finan.pdf

15. Deep surrogates for finance: With an application to option pricing

Authors: Hui Chen, Antoine Didisheim, Simon Scheidegger

DOI: [10.1016/j.jfineco.2025.104222](https://doi.org/10.1016/j.jfineco.2025.104222)

Fields & Theories:

- **Fields:** Asset Pricing, Derivatives, Financial Econometrics, Machine Learning
- **Theories:** Deep Neural Networks, Structural Models, Option Pricing Theory

Abstract:

We introduce 'deep surrogates'—high-precision approximations of structural models based on deep neural networks, which speed up model evaluation and estimation by orders of magnitude and allow for various compute-intensive applications that were previously infeasible. As an application, we build a deep surrogate for a high-dimensional workhorse option pricing model. The surrogate enables us to re-estimate the model at high frequency to construct an option-implied tail risk measure, which is highly predictive of future market crashes. It also helps us systematically examine the model's out-of-sample performance, which reveals the tradeoffs between structural and reduced-form approaches for option pricing. Moreover, we construct a measure for the degree of parameter instability and connect it to option market illiquidity in the data. Finally, we use the surrogate to construct conditional distributions of option returns, which is useful for risk management and provides a new way to test the model.

Deep-surrogates-for-finance--With-an-application-_2026_Journal-of-Financial-.pdf

16. Demand disagreement

Authors: Christian Heyerdahl-Larsen, Philipp Illieditsch

DOI: [10.1016/j.jfineco.2025.104191](https://doi.org/10.1016/j.jfineco.2025.104191)

Fields & Theories:

- **Fields:** Asset Pricing, Fixed Income, Macro-Finance
- **Theories:** Belief Disagreement, General Equilibrium, Term Structure Models

Abstract:

Disagreement about macroeconomic fundamentals accounts for only part of the disagreement about future interest rates, creating a “disagreement correlation” puzzle. This puzzle arises because standard equilibrium models with belief differences predict a strong link between asset return disagreement and fundamental disagreement, a link not supported by the data. We address this puzzle by introducing a model where disagreement about future demand for savings—driven by disagreement over the prevalence of patient versus impatient investors in the economy—generates asset return disagreement. Our mechanism produces stochastic yield volatility, time-varying bond risk premia, and an upward-sloping yield curve. Empirically, we construct a proxy for demand disagreement by isolating the component of yield disagreement unrelated to disagreement about macro-fundamentals. This proxy is positively related to yields and their volatilities, and predicts future bond risk premia, consistent with the predictions of our demand disagreement model.

Demand-disagreement_2026_Journal-of-Financial-Economics.pdf

17. Did pandemic relief fraud inflate house prices?

Authors: John M. Griffin, Samuel Kruger, Prateek Mahajan

DOI: [10.1016/j.jfineco.2026.104275](https://doi.org/10.1016/j.jfineco.2026.104275)

Fields & Theories:

- **Fields:** Real Estate Finance, Public Finance, Household Finance
- **Theories:** Difference-in-Differences, Wealth Effect

Abstract:

Pandemic fraud is geographically concentrated and stimulated local purchases, with effects on prices. Recipients of fraudulent Paycheck Protection Program (PPP) funds significantly increased their home purchasing rate compared to recipients of non-fraudulent PPP funds, and house prices in high-fraud ZIP codes increased 5.8 percentage points more than in low-fraud ZIP codes within the same county. In a horse race, pandemic fraud is one of the largest and most robust factors explaining house price appreciation during COVID. ZIP codes with fraud also experienced heightened vehicle purchases and other consumer spending in 2020-21, with a return to normal in 2022.

Did-pandemic-relief-fraud-inflate-house-pri_2026_Journal-of-Financial-Econom.pdf

18. Dirty air and green investments: The impact of pollution information on portfolio allocations

Authors: Raymond Fisman, Pulak Ghosh, Arkodipta Sarkar, Jian Zhang

DOI: [10.1016/j.jfineco.2026.104309](https://doi.org/10.1016/j.jfineco.2026.104309)

Fields & Theories:

- **Fields:** Behavioral Finance, ESG/Sustainable Finance, Household Finance
- **Theories:** Triple-Differences, Information Salience, Investor Preferences

Abstract:

We study whether access to local pollution information causes investors to make greener portfolio allocations, exploiting the rollout of air quality monitoring stations in India. Using a triple-differences framework on the trading records of 19 million investors, we show that retail investors’ holdings in “brown” stocks become more negatively related to local pollution after a nearby station appears. This effect is more pronounced on “alert” dates when air quality is reported to be harmful. The effect is strongest among tech-savvy investors likely “treated” by real-time pollution data, and younger investors, who may be more sensitive to environmental concerns.

Dirty-air-and-green-investments--The-impact-of-pollut_2026_Journal-of-Financ.pdf

19. Discount factors and monetary policy: Evidence from dual-listed stocks

Authors: Quentin Vandeweyer, Minghao Yang, Constantine Yannelis

DOI: [10.1016/j.jfineco.2025.104190](https://doi.org/10.1016/j.jfineco.2025.104190)

Fields & Theories:

- **Fields:** Asset Pricing, Monetary Policy, International Finance
- **Theories:** Discount Factor Channel, Law of One Price, Event Study

Abstract:

This paper studies the transmission of monetary policy to the stock market through investors' discount factors. To isolate this channel, we investigate the effect of US monetary policy surprises on the ratio of prices of the same stock listed simultaneously in Hong Kong and Mainland China. We identify a strong discount rate channel driven exclusively by cycle-amplifying surprises, defined as rate cuts during easing cycles and surprise hikes during tightening cycles. A 100 basis point of such cycle-amplifying surprise induces a 30 basis point change in the price ratio within five days.

Discount-factors-and-monetary-policy--Evidence-fr_2026_Journal-of-Financial-.pdf

20. Do teams alleviate or exacerbate overreaction in beliefs?

Authors: Ricardo Barahona, Stefano Cassella, Kristy A.E. Jansen, Vincenzo Pezone

DOI: [10.1016/j.jfineco.2025.104219](https://doi.org/10.1016/j.jfineco.2025.104219)

Fields & Theories:

- **Fields:** Behavioral Finance, Asset Management
- **Theories:** Overreaction Bias, Team Decision Making, Randomized Controlled Trial

Abstract:

We investigate whether teams exhibit increased or reduced overreaction in expectation formation relative to individuals. Using preregistered randomized experiments that directly elicit expectations about future returns, we find that teams display lower belief overreaction to recent investment performance. A quantitative decomposition shows that this team effect stems primarily from a 'self-selection' mechanism, whereby the most biased team member chooses to influence the team decision less. An LLM-based analysis of team interactions reinforces this result. A complementary analysis of US equity mutual fund managers operating both individually and as part of a team yields consistent evidence of lower overreaction in teams.

Do-teams-alleviate-or-exacerbate-overreaction-_2026_Journal-of-Financial-Eco.pdf

21. Dual peer effects and cross-stock predictability

Authors: Doron Avramov, Shuyi Ge, Shaoran Li, Oliver Linton

DOI: [10.1016/j.jfineco.2026.104274](https://doi.org/10.1016/j.jfineco.2026.104274)

Fields & Theories:

- **Fields:** Asset Pricing, Information Diffusion, Machine Learning
- **Theories:** Information Asymmetry, Slow Information Diffusion, Cross-Stock Predictability, Local Projections

Abstract:

This paper introduces a Peer Index (PI) constructed from economically motivated peer networks that summarizes (i) the strength of a firm's peers and (ii) the firm's position within its peer group. PI predicts stock returns and earnings surprises over short and long horizons. Machine-learning models based solely on firm-level characteristics do not subsume PI's predictive power, supporting the interpretation that it captures genuine cross-stock information. Lag-augmented local projections show that positive PI innovations are followed by higher next-month returns that gradually decay without reversal, consistent with slow diffusion of peer information into prices.

22. Duration-based stock valuation: Reassessing stock market performance and volatility

Authors: Jules H. van Binsbergen

DOI: [10.1016/j.jfineco.2026.104248](https://doi.org/10.1016/j.jfineco.2026.104248)

Fields & Theories:

- **Fields:** Asset Pricing, International Finance, Macro-Finance
- **Theories:** Equity Risk Premium Puzzle, Excess Volatility Puzzle, Duration-based Valuation, Secular Stagnation

Abstract:

Using a panel of international government bond data, I construct fixed income portfolios that match the duration of the dividend strips of the local aggregate stock market index. I find that these bond portfolios have similar realized return performance as their stock counterparts while also exhibiting similar or higher levels of volatility. These results provide novel insights regarding the equity risk premium and excess volatility puzzles (bubbles) and their measurement. I present several potential explanations, including secular stagnation, and discuss further the implications for macroeconomics, monetary economics, asset pricing, and corporate finance.

Duration-based-stock-valuation--Reassessing-stock-ma_2026_Journal-of-Financi.pdf

23. Extrapolators and contrarians: Forecast bias and individual investor stock trading

Authors: Steffen Andersen, Stephen G. Dimmock, Kasper Meisner Nielsen, Kim Peijnenburg

DOI: [10.1016/j.jfineco.2026.104291](https://doi.org/10.1016/j.jfineco.2026.104291)

Fields & Theories:

- **Fields:** Behavioral Finance, Household Finance
- **Theories:** Extrapolative Expectations, Behavioral Bias, Investor Heterogeneity, Salience Theory

Abstract:

We test whether forecast bias affects individual investors' stock trading by combining bias measures from lab oratory experiments with administrative trade data. Forecast bias is positively associated with past excess returns of purchased stocks: Compared to contrarians, extrapolators purchase stocks with higher past returns. Forecast bias is negatively associated with capital gains of sold stocks. Forecast bias also explains investor heterogeneity in the relation between market returns and net flows. Taken together, forecast bias provides a unifying mechanism through which different salient performance measures —past stock returns, capital gains, and past market returns —shape corresponding purchase, sale, and net flow decisions.

Extrapolators-and-contrarians--Forecast-bias-and-ind_2026_Journal-of-Financi.pdf

24. Face-to-face social interactions and local informational advantage

Authors: Robin Y. Lee

DOI: [10.1016/j.jfineco.2026.104280](https://doi.org/10.1016/j.jfineco.2026.104280)

Fields & Theories:

- **Fields:** Financial Intermediation, Asset Management, Information Asymmetry
- **Theories:** Soft Information, Social Networks, Natural Experiment, Information Asymmetry

Abstract:

This paper examines the causal role of face-to-face (F2F) interactions in generating local informational advantages for mutual fund managers. Using COVID-19 lockdowns as an exogenous shock, I show that fund

managers' performance on local stocks declined relative to distant stocks when in-person meetings were curtailed, driven by impaired investment timing rather than changes in firm fundamentals. I investigate two distinct benefits of F2F interactions arising from interpersonal cues: trust-building, which enhances the transmission of soft information, and impression management, which facilitates the transmission of favorable information. The results cannot be fully explained by changes in internal information flows or the use of public information, and are more pronounced for stocks in less transparent information environments and in regions with stronger social traits.

Face-to-face-social-interactions-and-local-inform_2026_Journal-of-Financial-.pdf

25. Financial literacy and financial crime: A regression discontinuity approach

Authors: Paul G. Freed, John Hackney

DOI: [10.1016/j.jfineco.2026.104292](https://doi.org/10.1016/j.jfineco.2026.104292)

Fields & Theories:

- **Fields:** Household Finance, Public Finance, Law and Economics
- **Theories:** Regression Discontinuity, Human Capital Theory, Financial Literacy, Household Balance Sheet Channel

Abstract:

This study investigates how financial literacy shapes the propensity of individuals to commit financial crime. Using state-level administrative data on criminal charges linked to comprehensive public records, we exploit a policy-based discontinuity in grade level assignment based on individual birth dates that exogenously requires certain high school cohorts to attend a financial literacy course. Our estimates suggest that exposure to the course reduces the propensity to commit financial crime by 37%. The reduction is driven by declines in embezzlement and is stronger for low-income individuals. Additional evidence suggests that the reductions are primarily explained by improvements in household balance sheets.

Financial-literacy-and-financial-crime--A-regressi_2026_Journal-of-Financial.pdf

26. Firm-to-firm financial linkages and dollar risk transmission

Authors: Bryan Hardy, Felipe Saffie, Ina Simonovska

DOI: [10.1016/j.jfineco.2026.104311](https://doi.org/10.1016/j.jfineco.2026.104311)

Fields & Theories:

- **Fields:** International Finance, Corporate Finance, Financial Intermediation, Emerging Markets
- **Theories:** Exchange Rate Risk, Financial Constraints, Trade Credit, Supply Chain Transmission

Abstract:

We study how U.S. dollar fluctuations transmit through domestic supply chains in emerging markets. Large firms borrow in foreign currency and extend trade credit to domestic partners, exposing the supply chain to exchange rate risk. We develop a model where financially constrained suppliers pass through shocks to buyers, while unconstrained firms absorb them. Using quarterly firm-level data from 19 emerging markets, we provide empirical evidence consistent with the model's predictions. We find that even highly exposed firms reduce trade credit only modestly following a depreciation, while accepting large profit losses, suggesting that firm-to-firm credit relationships partially shield downstream firms from financial shocks.

Firm-to-firm-financial-linkages-and-dollar-risk_2026_Journal-of-Financial-Ec.pdf

27. Flying below the radar: Insider trading by executives below the top

Authors: Hans K. Hvide, Kasper Meisner Nielsen

DOI: [10.1016/j.jfineco.2026.104282](https://doi.org/10.1016/j.jfineco.2026.104282)

Fields & Theories:

- **Fields:** Corporate Finance, Financial Regulation, Asset Pricing
- **Theories:** Information Asymmetry, Insider Trading, Agency Theory, Market Efficiency

Abstract:

To enforce insider trading laws, financial regulators require top executives to make their own-company trades public. One implication of this regulatory focus is that executives below the top fly under the radar. We use administrative register data from Norway to examine whether executives below the top in listed companies earn abnormal returns on purchases in own-company stock. We find evidence of abnormal returns on such trades, about 50 to 100 basis points at the 1-month horizon. The abnormal returns on purchases in other stocks are negative, making high investor ability an unlikely explanation.

Flying-below-the-radar--Insider-trading-by-execut_2026_Journal-of-Financial-.pdf

28. Forecast bias across horizons: Inflation expectations and the Treasury yields

Authors: Hao Pang

DOI: [10.1016/j.jfineco.2026.104327](https://doi.org/10.1016/j.jfineco.2026.104327)

Fields & Theories:

- **Fields:** Asset Pricing, Macro-Finance, Monetary Policy
- **Theories:** Rational Expectations, Behavioral Bias, Term Structure of Interest Rates, Inflation Expectations

Abstract:

I show that the overreaction of the long-term yield forecasts to yield news, evidenced in recent studies, results directly from the overreaction of long-horizon inflation forecasts to inflation news. Motivated by this finding, I study how agents form inflation expectations across forecast horizons. Short-horizon survey forecasts underreact, while long-horizon forecasts overreact to inflation news. To reconcile this behavior, I implement a long-run bias, building on the widely shared intuition that agents conflate transitory with permanent shocks, within a realistic trend-gap inflation model. I embed this bias within a yield curve model. The long-horizon inflation expectations overreaction translates into a long-term yields' overreaction, generating excess yield sensitivity to news. The model implies a long-term bond risk premium substantially less volatile and cyclical than that implied by predictive regressions or estimates imposing full-information rational expectations.

Forecast-bias-across-horizons--Inflation-expectatio_2026_Journal-of-Financia.pdf

29. Foundational processes and growth

Authors: Wing Wah Tham, Salomé Baslandze, Elvira Sojli, Leo Liu

DOI: [10.1016/j.jfineco.2026.104276](https://doi.org/10.1016/j.jfineco.2026.104276)

Fields & Theories:

- **Fields:** Corporate Finance, Innovation, Industrial Organization
- **Theories:** Endogenous Growth Theory, Product and Process Innovation, Firm Growth Dynamics

Abstract:

This paper studies the interaction between process and product innovations and their distinct role in firm growth dynamics. We differentiate empirically and theoretically two types of process innovations: foundational processes that advance production technology and cost-reducing processes that enhance existing production efficiency. We develop an innovation model of product varieties with quality heterogeneity to illustrate how these innovations impact firm growth differently and highlight how process innovation induces product innovation. By analyzing millions of patent texts from 1900 to 2020, we classify innovations into product, cost-reducing process, and foundational process innovations. We find that foundational processes lead to sustained firm growth, especially through their effect on subsequent product creation. R&D-intensive firms focused on "deep-tech" innovations have an advantage in creating foundational processes, resulting

in superior product quality. Using patents linked to FDA-approved drugs, we show that firms with a comparative advantage in creating foundational processes, due to greater knowledge and technological stock, tend to produce higher-value products.

Foundational-processes-and-growth_2026_Journal-of-Financial-Economics.pdf

30. Gambling away stability: Sports betting's impact on vulnerable households

Authors: Scott R. Baker, Justin Balthrop, Mark J. Johnson, Jason Kotter, Kevin Pisciotta

DOI: [10.1016/j.jfineco.2026.104330](https://doi.org/10.1016/j.jfineco.2026.104330)

Fields & Theories:

- **Fields:** Household Finance, Behavioral Finance, Public Finance
- **Theories:** Difference-in-Differences, Consumption Smoothing, Risk Preferences, Crowding Out Effect

Abstract:

We estimate the causal effect of online sports betting on households' investment, spending, and debt management decisions using household transaction data and a staggered difference-in-differences framework. Following legalization, sports betting spreads quickly, with both the number of participants and frequency of bets increasing over time. This increase does not displace other gambling or consumption but significantly reduces savings, as risky bets crowd out positive expected value investments. These effects concentrate among frequent bettors and low-savings households. Our findings highlight the potential adverse effects of online sports betting on vulnerable households.

Gambling-away-stability--Sports-betting-s-impact-o_2026_Journal-of-Financial.pdf

31. Glass box machine learning and corporate bond returns

Authors: Sebastian Bell, Ali Kakhbod, Martin Lettau, Abdolreza Nazemi

DOI: [10.1016/j.jfineco.2026.104294](https://doi.org/10.1016/j.jfineco.2026.104294)

Fields & Theories:

- **Fields:** Asset Pricing, Fixed Income, Machine Learning in Finance
- **Theories:** Interpretable Machine Learning, Risk Premia, Term Structure, Portfolio Construction

Abstract:

Machine learning methods in asset pricing are often criticized for their black box nature. We study this issue by predicting corporate bond returns using interpretable machine learning on a high-dimensional bond characteristics data set. We achieve state-of-the-art performance while maintaining an interpretable model structure, overcoming the accuracy–interpretability trade-off. The estimation uncovers nonlinear relationships and economically meaningful interactions in bond pricing, notably related to term structure and macroeconomic uncertainty. Subsample analysis reveals stronger sensitivities to these effects for small firms and long-maturity bonds. Finally, we demonstrate how interpretable models enhance transparency in portfolio construction by providing ex ante insights into portfolio composition.

Glass-box-machine-learning-and-corporate-bond_2026_Journal-of-Financial-Econ.pdf

32. Government bond risk and return in the US and China

Authors: Jennifer N. Carpenter, Fangzhou Lu, Robert F. Whitelaw

DOI: [10.1016/j.jfineco.2025.104224](https://doi.org/10.1016/j.jfineco.2025.104224)

Fields & Theories:

- **Fields:** Asset Pricing, Fixed Income, International Finance, Financial Econometrics

- **Theories:** Risk-Return Trade-off, Principal Component Analysis, Time-Varying Risk Premia, Sharpe Ratio

Abstract:

We propose a new approach to modeling bond risk and risk premia, inspired by the equity risk-return literature, which does not impose the tight restrictions found in models that generate closed-form bond prices. We estimate the joint dynamics of the volatility and Sharpe ratio of principal-component bond-factor portfolios for the US and China. Predictors include yield curve variables and, for the US, VIX. We document complex time-varying relations between the price and quantity of interest rate risk inconsistent with the frameworks in existing studies. Interesting differences between the US and China further highlight the need for our more flexible approach.

Government-bond-risk-and-return-in-the-US-and_2026_Journal-of-Financial-Econ.pdf

33. Government debt management and inflation with real and nominal bonds

Authors: Lukas Schmid, Vytautas Valaitis, Alessandro T. Villa

DOI: [10.1016/j.jfineco.2026.104293](https://doi.org/10.1016/j.jfineco.2026.104293)

Fields & Theories:

- **Fields:** Public Finance, Monetary Policy, Macro-Finance, Fixed Income
- **Theories:** Optimal Debt Management, Time Inconsistency, Sticky Prices, Market Completeness

Abstract:

Can governments use real bonds such as Treasury Inflation-Protected Securities (TIPS) to tame inflation? We propose a novel framework of optimal debt management with sticky prices and a government issuing nominal and real state-uncontingent bonds. A government debt portfolio with both nominal and real bonds helps completing markets unless the monetary policy stance renders them perfect substitutes. Under Full Commitment, the government borrows with nominal debt and accumulates real assets, to be able to use inflation to smooth taxes. With No Commitment, the government portfolio favors real bonds to strategically prevent future governments from monetizing debt ex-post. Quantitatively, our model with No Commitment is consistent with the small and persistent TIPS share in U.S. data. A higher TIPS share mitigates the commitment friction, and effectively curbs inflation.

Government-debt-management-and-inflation-with-rea_2026_Journal-of-Financial-.pdf

34. Government litigation risk and the decline in low-income mortgage lending

Authors: W. Scott Frame, Kristopher Gerardi, Erik J. Mayer, Billy Y. Xu, Lawrence Chengzhi Zhao

DOI: [10.1016/j.jfineco.2026.104279](https://doi.org/10.1016/j.jfineco.2026.104279)

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Household Finance, Financial Regulation
- **Theories:** Difference-in-Differences, Credit Supply, Litigation Risk, Natural Experiment

Abstract:

This study examines the effect of Department of Justice lawsuits in the 2010s against large lenders for alleged fraud in the Federal Housing Administration (FHA) mortgage insurance program. The suits led to over \$5 billion in settlements and caused targeted banks and their peers to precipitously exit the FHA market. Difference-in-differences and triple-differences tests exploiting geographic variation in exposure to exiting banks show an 18% reduction in FHA lending in heavily exposed areas. This reduction was not associated with improved underwriting standards or lower default rates. Large banks' FHA exit has significantly reduced low-income households' overall access to mortgage credit.

Government-litigation-risk-and-the-decline-in-low-_2026_Journal-of-Financial.pdf

35. Hidden alpha

Authors: Manuel Ammann, Alexander Cochardt, Lauren Cohen, Stephan Heller

DOI: [10.1016/j.jfineco.2025.104225](https://doi.org/10.1016/j.jfineco.2025.104225)

Fields & Theories:

- **Fields:** Asset Pricing, Behavioral Finance, Information Asymmetry, Financial Intermediation
- **Theories:** Social Networks, Insider Trading, Information Advantage, Alpha Generation

Abstract:

We provide novel evidence suggestive of insider trading through concealed relationships identified using information from over 100,000 Facebook profiles and their 35 million friends. Focusing on connections between fund managers and firm officers, we demonstrate that hidden ties are linked to substantial abnormal returns averaging 135 basis points per month (exceeding 16% alpha annually, $t\text{-stat} = 3.54$) across the universe of mutual funds and public firms. These hidden ties emerge as the most powerful predictor of future stock returns among documented network characteristics, with predictive power increasing over time through the present day. The premium associated with such connections arises not from endogenous selection or familiarity bias; instead, fund managers exhibit specific timing ability in deciding when to hold (or avoid) stocks of firm officers linked through hidden ties. The value of trading information rises with the degree of concealment and is concentrated around earnings and M&A events. The premium is absent in index funds, where strategic stock selection and timing are infeasible. Our findings on the value of hidden ties remain robust across industries, investment styles, time periods, and firm types.

Hidden-alpha_2026_Journal-of-Financial-Economics.pdf

36. Housing affordability and parental income support: The role of mortgage co-signing

Authors: Jason Allen, Kyra Carmichael, Robert Clark, Shaoteng Li, Nicolas Vincent

DOI: [10.1016/j.jfineco.2026.104239](https://doi.org/10.1016/j.jfineco.2026.104239)

Fields & Theories:

- **Fields:** Household Finance, Real Estate Finance, Financial Intermediation
- **Theories:** Borrowing Constraints, Intergenerational Transfers, Financial Vulnerability, Moral Hazard

Abstract:

In many countries, the cost of housing has greatly outpaced income growth, leading to an affordability crisis. Leveraging Canadian loan-level data, we document an increasing reliance of first-time home-buyers on financial help from their parents through mortgage co-signing. We show that parental support can effectively relax the borrowing constraints of their adult children, and allow them to enter the housing market early. However, we also identify a novel channel through which parental support could increase borrower vulnerabilities. Cosigning incentivizes adult children to lever up and purchase housing beyond what they can afford, exposing them to a greater risk of financial stress.

Housing-affordability-and-parental-income-support--T_2026_Journal-of-Financi.pdf

37. How costly are cultural biases? Evidence from FinTech

Authors: Francesco D' Acunto, Pulak Ghosh, Alberto G. Rossi

DOI: [10.1016/j.jfineco.2025.104202](https://doi.org/10.1016/j.jfineco.2025.104202)

Fields & Theories:

- **Fields:** Behavioral Finance, Financial Intermediation, FinTech
- **Theories:** Taste-based Discrimination, Biased Beliefs, Statistical Discrimination

Abstract:

We study the nature and effects of cultural biases in choice under risk and uncertainty by comparing peerto-

peer loans the same individuals (lenders) make alone and after observing robo-advised suggestions. When unassisted, lenders are more likely to choose co-ethnic borrowers, facing 8% higher defaults and 7.3pp lower returns. Robo-advising does not affect diversification but reduces lending to high-risk co-ethnic borrowers. Lenders in locations with high inter-ethnic animus drive the results, even when borrowers reside elsewhere. Biased beliefs explain these results better than a conscious taste for discrimination: lenders rarely override robo-advised matches to ethnicities they discriminated against when unassisted.

How-costly-are-cultural-biases--Evidence-from_2026_Journal-of-Financial-Econ.pdf

38. How do income-driven repayment plans benefit student debt borrowers?

Authors: Sylvain Catherine, Mehran Ebrahimi, Constantine Yannelis

DOI: [10.1016/j.jfineco.2026.104253](https://doi.org/10.1016/j.jfineco.2026.104253)

Fields & Theories:

- **Fields:** Household Finance, Public Finance, Consumer Credit
- **Theories:** Life-cycle Model, Consumption Smoothing, Welfare Analysis, Income Risk Insurance

Abstract:

Using credit bureau data, we show that nearly half the increase in student debt since 2010 is due to deferred payments and the expansion of income-driven repayment (IDR) plans. These plans help borrowers smooth consumption, insure income risk, and reduce the effective debt cost. Using a life-cycle model, we quantify the welfare gains from this payment deferment and the channels through which welfare increases. We show that an optimally calibrated plan can achieve similar welfare gains at a much lower cost to taxpayers, and without encouraging additional borrowing. Finally, we use our quantitative framework to evaluate recent proposals to reform IDR rules.

How-do-income-driven-repayment-plans-benefit-stud_2026_Journal-of-Financial-.pdf

39. Hurdle rate buffers and bargaining power in asset acquisition

Authors: John W. Barry, Bruce I. Carlin, Alan D. Crane, John R. Graham

DOI: [10.1016/j.jfineco.2026.104240](https://doi.org/10.1016/j.jfineco.2026.104240)

Fields & Theories:

- **Fields:** Corporate Finance, M&A
- **Theories:** Bargaining Theory, Commitment Device, Hurdle Rate Buffers, Agency Theory

Abstract:

CFOs report using elevated hurdle rates that average 6.6 percentage points above the cost of capital. We show that hurdle rate buffers act as a commitment device and convey a bargaining advantage over counterparties during project development and M&A. This benefit can exceed the opportunity cost of forgone projects and acquisitions, preserving firm value. Consistent with our model, bidders' elevated hurdle rates in M&A deals associate with higher surplus capture ex post; in CFO survey data, hurdle rate buffers negatively relate to ex ante bargaining power, and realized returns cluster just above elevated hurdle rates.

Hurdle-rate-buffers-and-bargaining-power-in-ass_2026_Journal-of-Financial-Ec.pdf

40. Implicit extrapolation and the beliefs channel of investment demand

Authors: Haoyang Liu, Christopher Palmer

DOI: [10.1016/j.jfineco.2025.104172](https://doi.org/10.1016/j.jfineco.2025.104172)

Fields & Theories:

- **Fields:** Behavioral Finance, Real Estate Finance, Household Finance
- **Theories:** Extrapolative Expectations, Experience Effects, Beliefs Channel, Forecast Confidence

Abstract:

We document implicit extrapolation in investment decision-making that exceeds the extrapolation inferable from stated expectations. Locally experienced returns predict individual real-estate investment decisions even conditional on an investor's forecasted home-price growth and risk aversion. Moreover, estimates of this experience effect on investment are larger than implied by the combined effect of past returns on stated expectations and stated expectations on investment. We demonstrate that heterogeneous forecast confidence helps explain why many investors rely on past returns over their survey-elicited forecasts. As their rationale, such survey respondents frequently cite intentional extrapolation or a lack of confidence in other belief factors.

[Implicit-extrapolation-and-the-beliefs-channel-of_2026_Journal-of-Financial-.pdf](#)

41. Index rebalancing and stock market composition: Do indexes time the market?

Authors: Marco Sammon, John J. Shim

DOI: [10.1016/j.jfineco.2025.104229](https://doi.org/10.1016/j.jfineco.2025.104229)

Fields & Theories:

- **Fields:** Asset Pricing, Market Microstructure, Passive Investing
- **Theories:** Market Timing, Transaction Costs, Factor Models

Abstract:

Value-weighted indexes must rebalance in response to stock market composition changes, e.g., issuance, buybacks, and IPOs. In doing so, existing index funds implicitly engage in market timing. Index funds' long-short rebalancing portfolios have an annualized return of 4.61% and load negatively on value and profitability factors. We estimate these trades impose a 46–69 bps annual index-level performance drag. We explore alternative value-weighted indexes that rebalance less and delay responding to compositional changes. Despite still closely tracking the market, these indexes improve market timing and lower trading costs, saving 50 bps annually, an order of magnitude greater than index fund fees.

[Index-rebalancing-and-stock-market-composition--Do_2026_Journal-of-Financial.pdf](#)

42. Innovation spillovers across U.S. tech clusters

Authors: Xavier Giroud, Ernest Liu, Holger Mueller

DOI: [10.1016/j.jfineco.2026.104264](https://doi.org/10.1016/j.jfineco.2026.104264)

Fields & Theories:

- **Fields:** Corporate Finance, Innovation, Real Estate Finance
- **Theories:** Knowledge Spillovers, General Equilibrium, Social vs Private Returns

Abstract:

The vast majority of U.S. inventors work for firms that also have inventors and plants in other tech clusters. Using merged USPTO–U.S. Census Bureau plant-level data, we show that larger tech clusters not only make local inventors more productive but also raise the productivity of inventors and plants in distant clusters, which are connected to the focal cluster through their parent firms' networks of innovating plants. To rationalize these findings, we develop a tractable model of spatial innovation that features both within- and cross-cluster innovation spillovers. Within our model, we derive a sufficient statistic for the wedge between the social and private returns to innovation in a given location. Taking the model to the data, we find a 41% correlation between the location wedges and locations' connectedness to other tech clusters.

[Innovation-spillovers-across-U-S--tech-clus_2026_Journal-of-Financial-Econom.pdf](#)

43. Institutions' return expectations across assets and time

Authors: Magnus Dahlquist, Markus Ibert

DOI: [10.1016/j.jfineco.2025.104188](https://doi.org/10.1016/j.jfineco.2025.104188)

Fields & Theories:

- **Fields:** Asset Pricing, Behavioral Finance, Institutional Investors
- **Theories:** Subjective Expectations, Risk Premium, Mean Reversion

Abstract:

We study the equity, cash, and corporate bond risk premium expectations of asset managers, investment consultants, wealth advisors, public pension funds, and professional forecasters. Subjective risk premia vary one-to-one with objective risk premia that are available in real time and countercyclical. Despite their significant time-series variation, several subjective equity premia vary more in the cross-section of institutions than in the time series. This heterogeneity persists both over time and across asset classes. We tie the heterogeneity in subjective equity return expectations to heterogeneous expectations about long-term equity valuations: some institutions believe that the price–earnings ratio behaves like a random walk, whereas others believe in varying degrees of mean reversion.

[Institutions--return-expectations-across-asset_2026_Journal-of-Financial-Eco.pdf](#)

44. Intellectual property protection lost and competition: An examination using large language models

Authors: Utku U. Acikalin, Tolga Caskurlu, Gerard Hoberg, Gordon M. Phillips

DOI: [10.1016/j.jfineco.2026.104306](https://doi.org/10.1016/j.jfineco.2026.104306)

Fields & Theories:

- **Fields:** Corporate Finance, Innovation, Law and Finance
- **Theories:** Intellectual Property Rights, Product Market Competition, Large Language Models

Abstract:

We examine the impact of lost intellectual property protection on innovation, competition, firm performance, and valuation. We consider firms whose ability to protect intellectual property (IP) using patents is weakened following a major Supreme Court decision. We use large language models (LLM) to identify firms' patent portfolios' exposure to this decision and find an unequal impact. Large firms gain and small firms lose. Large impacted firms benefit as their sales growth increases and their exposure to lawsuits decreases. Small impacted firms lose as they face increased competition, product-market encroachment, and lower profits and valuations.

[Intellectual-property-protection-lost-and-competition-_2026_Journal-of-Finan.pdf](#)

45. Intermediation frictions in equity markets

Authors: Bryan Seegmiller

DOI: [10.1016/j.jfineco.2025.104223](https://doi.org/10.1016/j.jfineco.2025.104223)

Fields & Theories:

- **Fields:** Asset Pricing, Financial Intermediation, Market Microstructure
- **Theories:** Intermediary Asset Pricing, Frictions, Risk-Bearing Capacity

Abstract:

Stocks with similar characteristics but different levels of ownership by financial institutions have returns and risk premia that comove very differently with shocks to the risk-bearing capacity of dealer banks. After observable stock characteristics are accounted for, excess returns on more intermediated stocks have higher betas on contemporaneous shocks to intermediary willingness to take risk and are more predictable by state variables that proxy for intermediary health. Intermediary risk-bearing capacity also explains a substantial and increasing fraction of the variation in conditional risk premia for portfolios sorted on intermediation. These

effects are concentrated in stocks held by hedge funds or mutual fund investors who are more likely to be exposed to dealer banks. The empirical evidence supports the predictions of asset pricing models in which financial intermediaries are marginal investors but face frictions that induce changes in their risk-bearing capacity.

Intermediation-frictions-in-equity-market_2026_Journal-of-Financial-Economic.pdf

46. Intervening against the Fed

Authors: Alexander Rodnyansky, Yannick Timmer, Naoki Yago

DOI: [10.1016/j.jfineco.2026.104265](https://doi.org/10.1016/j.jfineco.2026.104265)

Fields & Theories:

- **Fields:** International Finance, Monetary Policy, Asset Pricing, Corporate Finance
- **Theories:** Balance Sheet Channel, Monetary Policy Spillovers, Portfolio Balance Theory, Risk Premium

Abstract:

This paper studies the effectiveness and mechanism of foreign exchange interventions (FXIs) for mitigating US monetary policy spillovers. Without interventions, contractionary US monetary policy shocks trigger foreign exchange depreciations, raise risk premiums, and induce portfolio outflows, thereby reducing foreign stock prices. The stock prices of firms with US dollar debt decline significantly more, indicating a strong role for a balance sheet channel. However, 'intervening against the Fed' stabilizes exchange rate depreciations, the risk premium, and portfolio flows. FXIs also disproportionately cushion the reduction in stock prices for firms with US dollar debt, muting the balance sheet channel of exchange rates.

Intervening-against-the-Fed_2026_Journal-of-Financial-Economics.pdf

47. Investing in misallocation

Authors: Mete Kılıç, Şelale Tüzel

DOI: [10.1016/j.jfineco.2025.104208](https://doi.org/10.1016/j.jfineco.2025.104208)

Fields & Theories:

- **Fields:** Corporate Finance, Macro-Finance, Innovation Finance
- **Theories:** Endogenous Growth Theory, Resource Misallocation, Marginal Product of Capital, Structural Estimation

Abstract:

We document that 20% of Compustat firms exhibit above-median investment rates despite having below-median marginal product of capital (MPK), seemingly 'misallocating' resources. These firms are typically younger and more likely to experience substantial upwards jumps in sales and MPK in subsequent years. They contribute significantly to innovation, and their investments predict future aggregate productivity, creating value beyond their current MPK. We propose and estimate a simple endogenous firm growth model that captures key cross-sectional features and enables counterfactual analysis. Ignoring the potential for future jumps in hypothetical investment policies reduces MPK and investment dispersion but also lowers aggregate productivity.

Investing-in-misallocation_2026_Journal-of-Financial-Economics.pdf

48. Investments that make our homes greener: The role of regulation

Authors: Nuno Clara, João F. Cocco, S. Lakshmi Naaraayanan, Varun Sharma

DOI: [10.1016/j.jfineco.2026.104236](https://doi.org/10.1016/j.jfineco.2026.104236)

Fields & Theories:

- **Fields:** Real Estate Finance, ESG/Sustainable Finance, Financial Regulation
- **Theories:** Difference-in-Differences, Instrumental Variables, Regulatory Impact Analysis

Abstract:

Operation of residential buildings is responsible for roughly 22% of global energy consumption and 17% of CO2 emissions. We study the investments triggered by a regulatory intervention requiring rented properties to satisfy minimum energy efficiency standards. The analysis shows significant investments in low capital expenditure retrofits. Using an instrumented difference-in-differences methodology, we show that the investments do not have an economically significant impact on rents, so that landlords are not compensated for them.

Investments-that-make-our-homes-greener--The-rol_2026_Journal-of-Financial-E.pdf

49. Investor expertise and private investment selection

Authors: Shane Miller, Emmanuel Yimfor, Ye Zhang

DOI: [10.1016/j.jfineco.2026.104331](https://doi.org/10.1016/j.jfineco.2026.104331)

Fields & Theories:

- **Fields:** Behavioral Finance, Venture Capital, Asset Management, Household Finance
- **Theories:** Information Asymmetry, Performance Persistence, Survey Experiment, Investor Expertise

Abstract:

Institutional and individual investors evaluate private market opportunities systematically differently, even facing identical choices. In a survey experiment, 593 institutional and 445 individual investors assess venture capital fund profiles with independently randomized GP characteristics. Institutions heavily weight past fund performance, consistent with risk-averse investor demand calibrated to VC markets. Individuals largely ignore performance, favoring educational credentials instead. A follow-up experiment identifies two independent mechanisms: individuals lack awareness that VC performance persists and discount quality signals for funds they perceive as inaccessible. Performance-based selection alone reduces individuals' expected returns by approximately 7%, accounting for 20% of the return gap with professionals.

Investor-expertise-and-private-investment-sel_2026_Journal-of-Financial-Econ.pdf

50. Learning by lending securities

Authors: George C. Nuriisso

DOI: [10.1016/j.jfineco.2026.104237](https://doi.org/10.1016/j.jfineco.2026.104237)

Fields & Theories:

- **Fields:** Financial Intermediation, Asset Pricing, Market Microstructure, Asset Management
- **Theories:** Information Asymmetry, Strategic Trading, Price Efficiency, Securities Lending Theory

Abstract:

Short sellers convey negative information to securities lenders when borrowing shares. I model how this information generates novel interactions between institutional investors' lending and trading decisions. Lower lending fees improve information quality by facilitating more shorting, but also make it less costly for lenders to strategically recall shares to enhance their trading profits. Lenders may then need to raise fees to commit not to recall shares and thereby attract short sellers. Conversely, index fund lenders cannot trade on lending market information. This restriction enables them to attract greater shorting demand and potentially improve price efficiency—despite charging higher fees.

Learning-by-lending-securities_2026_Journal-of-Financial-Economics.pdf

51. Liquidity characteristics of market anomalies and institutional trading

Authors: Charles Cao, Bing Liang, Tong Yao, Andrew Zhang

DOI: [10.1016/j.jfineco.2026.104254](https://doi.org/10.1016/j.jfineco.2026.104254)

Fields & Theories:

- **Fields:** Asset Pricing, Market Microstructure, Behavioral Finance
- **Theories:** Liquidity Provision, Institutional Trading, Market Efficiency

Abstract:

We find that market anomalies exhibit heterogeneous liquidity characteristics —long–short portfolios based on long-horizon (short-horizon) anomalies have liquidity-provision (liquidity-demanding) characteristics. Consistent with such liquidity characteristics, institutional investors tend to trade in the wrong (right) direction of long-horizon (short-horizon) anomalies. Further analysis shows that exogenous liquidity factors and institutional liquidity preferences have causal effects on the observed institutional trading patterns. Finally, despite the perception that liquidity improves market efficiency, we find that liquidity can exacerbate the magnitude of anomalies through its influence on institutional trading.

Liquidity-characteristics-of-market-anomalies-and-_2026_Journal-of-Financial.pdf

52. Manufacturing risk-free government debt

Authors: Zhengyang Jiang, Hanno Lustig, Stijn Van Nieuwerburgh, Mindy Z. Xiaolan

DOI: [10.1016/j.jfineco.2025.104203](https://doi.org/10.1016/j.jfineco.2025.104203)

Fields & Theories:

- **Fields:** Public Finance, Asset Pricing, Macro-Finance
- **Theories:** Debt Dynamics, Long-run Risk, General Equilibrium

Abstract:

In the presence of aggregate risk, governments face a trade-off between insuring taxpayers or bondholders. The literature assumes that the government can finance deficits at the risk-free rate, protecting bondholders at the expense of taxpayers. We characterize the implications of this assumption on the surplus process. Under reasonable debt dynamics, counter-cyclical debt issuance that protects taxpayers against adverse macroeconomic shocks is limited in time and scope, and comes at the expense of higher long-run risk. We find that the restrictions imposed by risk-free debt are rejected in U.S. surplus data, especially after the GFC. Taxpayers have been protected at the expense of bondholders.

Manufacturing-risk-free-government-debt_2026_Journal-of-Financial-Economics.pdf

53. Market feedback: Evidence from the horse' s mouth

Authors: Itay Goldstein, Bibo Liu, Liyan Yang

DOI: [10.1016/j.jfineco.2026.104255](https://doi.org/10.1016/j.jfineco.2026.104255)

Fields & Theories:

- **Fields:** Corporate Finance, Information Asymmetry
- **Theories:** Market Feedback Loop, Information Learning Channel, Investment-to-Price Sensitivity

Abstract:

We surveyed all Chinese public firms in 2019 and 2022 to examine the real effects of financial markets. Over 90% of firms say they actively monitor the stock market, and the most common reasons they provide are that they learn new information from the price and that they depend on the price for financing. Focusing on the learning channel, we examine how the responses relate to firm characteristics and actions. Firms that indicate learning have characteristics that suggest greater benefit from market information. They also exhibit higher investment-to-price sensitivity. We provide results on what dimensions of information firms learn about.

Market-feedback--Evidence-from-the-horse-s-m_2026_Journal-of-Financial-Econo.pdf

54. Measuring firms' capability to absorb external knowledge

Authors: Michael Woepffel, M. Deniz Yavuz

DOI: [10.1016/j.jfineco.2026.104322](https://doi.org/10.1016/j.jfineco.2026.104322)

Fields & Theories:

- **Fields:** Corporate Finance, Innovation Finance
- **Theories:** Absorptive Capacity, Triple-Difference, Natural Experiment

Abstract:

As the economy has become increasingly knowledge-based, firms' capability to benefit from external knowledge has grown in importance. We construct a measure of this capability –absorption intensity –from information in firms' patents. To validate the measure, we exploit the American Inventors Protection Act (AIPA), which exogenously increased patent information availability. A triple-difference design shows that firms with higher absorption intensity experience greater innovation growth when more exposed to the reform. Beyond AIPA, absorption intensity predicts stronger innovation outcomes and firm growth. Our measure offers a tool to study how differences in absorption capability shape returns to external knowledge.

Measuring-firms--capability-to-absorb-external_2026_Journal-of-Financial-Eco.pdf

55. Monetary policy transmission through the exchange rate factor structure

Authors: Erik Loualiche, Alexandre R. Pecora, Fabricius Somogyi, Colin Ward

DOI: [10.1016/j.jfineco.2026.104305](https://doi.org/10.1016/j.jfineco.2026.104305)

Fields & Theories:

- **Fields:** International Finance, Monetary Policy, Financial Intermediation
- **Theories:** Factor Structure, Risk Factor Exposure, Monetary Policy Transmission

Abstract:

We show that US monetary policy is transmitted internationally through the factor structure of exchange rates. Following an easing of monetary policy, investment funds sell safe and buy risky currencies. Global US banks, similarly, tilt their distribution of foreign loan origination toward currencies with greater systematic currency risk. The effects of monetary policy on currency flows and loans persist for several months and feed into the leverage and real investment decisions of firms and, in particular, those that operate using a high-risk currency. We conclude that the risk factor exposure of currencies is a significant channel through which we can understand the international transmission of US monetary policy.

Monetary-policy-transmission-through-the-exchange-_2026_Journal-of-Financial.pdf

56. Monetary transmission and portfolio rebalancing: A cross-sectional approach

Authors: Xu Lu, Lingxuan Wu

DOI: [10.1016/j.jfineco.2026.104324](https://doi.org/10.1016/j.jfineco.2026.104324)

Fields & Theories:

- **Fields:** Monetary Policy, Asset Pricing, Financial Intermediation, Institutional Investors
- **Theories:** Monetary Transmission Mechanism, Portfolio Rebalancing, Cross-sectional Analysis

Abstract:

We show that institutional portfolio rebalancing across asset classes plays a key role in transmitting monetary shocks to the stock market. Around FOMC announcements, ceteris paribus, a stock with 10-percentage-point higher ownership by rebalancing institutions experiences an additional 3.7-basis-point loss following a 10basis-point surprise rate hike. We corroborate our mechanism by exploiting within-firm variations for

dual shares, showing stronger price reactions at quarter- and month-ends when rebalancing is more imminent, and presenting placebo tests contrasting rebalancing institutions with other institutions. A concluding calibration suggests rebalancing could contribute roughly one-third to two-thirds of the aggregate stock market excess return response to monetary shocks.

Monetary-transmission-and-portfolio-rebalancing--A_2026_Journal-of-Financial.pdf

57. Operational shorting and ETF liquidity provision

Authors: Richard B. Evans, Rabih Moussawi, Michael S. Pagano, John Sedunov

DOI: [10.1016/j.jfineco.2026.104241](https://doi.org/10.1016/j.jfineco.2026.104241)

Fields & Theories:

- **Fields:** Market Microstructure, Asset Pricing, Financial Intermediation, ETFs
- **Theories:** Liquidity Provision, Short Selling, Market Making

Abstract:

ETF market makers can satisfy excess demand in secondary markets by selling shares that are not yet created. While this ability to “operationally short” is not unique to ETFs, it plays a central role in ETF liquidity provision. We propose and validate a novel “operational shorting” measure. In addition to constituting a majority of ETF short interest, it is associated with higher retail trading activity and short-term return reversals, consistent with liquidity-supplying motives. Accounting for operational shorting is important in examining ETF returns, mis pricing, and the asset-pricing implications of ETF trading on underlying securities.

Operational-shorting-and-ETF-liquidity-provi_2026_Journal-of-Financial-Econo.pdf

58. Out of sight, out of mind: Divestments and the global reallocation of pollutive assets

Authors: Tobias Berg, Lin Ma, Daniel Streitz

DOI: [10.1016/j.jfineco.2026.104308](https://doi.org/10.1016/j.jfineco.2026.104308)

Fields & Theories:

- **Fields:** Corporate Finance, ESG/Sustainable Finance, International Finance
- **Theories:** Investor Pressure, Divestment, Asset Reallocation

Abstract:

We document a global reallocation of pollutive assets as a response to investor pressure: large firms facing increased investor pressure divest foreign-located pollutive assets to firms that are less in the limelight. There is no evidence of increased engagement in any other emission reduction activities. We estimate that 369 million metric tons (mt) of CO₂e are reallocated via divestments in the post-Paris Agreement period. Our results indicate that investor pressure to decarbonize reshapes the global conglomerate structure of large firms.

Out-of-sight--out-of-mind--Divestments-and-the-globa_2026_Journal-of-Financi.pdf

59. Partial homeownership: A quantitative analysis

Authors: Eirik Eylands Brandsaas, Jens Soerlie Kvaerner

DOI: [10.1016/j.jfineco.2026.104256](https://doi.org/10.1016/j.jfineco.2026.104256)

Fields & Theories:

- **Fields:** Household Finance, Real Estate Finance, Financial Stability
- **Theories:** Life-cycle Model, Quantitative Analysis, Welfare Analysis

Abstract:

A convex combination of renting and traditional homeownership –Partial Ownership (PO) –is increasingly popular in many countries. We incorporate an existing for-profit PO contract into a life-cycle model to quantify its impact on housing investments, households' welfare, and financial stability. We have three results: (1) PO makes more households invest in (some) housing. (2) Willingness to pay for PO increases with housing unaffordability and is highest among low-income and renting households. (3) PO increases the mean DTI in the population while compressing the right tail, and it lowers defaults under a house price collapse and a rise in aggregate unemployment.

Partial-homeownership--A-quantitative-analy_2026_Journal-of-Financial-Econom.pdf

60. Past is prologue: Inference from the cross section of returns around an event

Authors: Jonathan B. Cohn, Travis L. Johnson, Zack Liu, Malcolm I. Wardlaw

DOI: [10.1016/j.jfineco.2026.104278](https://doi.org/10.1016/j.jfineco.2026.104278)

Fields & Theories:

- **Fields:** Asset Pricing, Financial Econometrics
- **Theories:** Event Study Methodology, Quasi-experimental Design, Generalized Least Squares (GLS)

Abstract:

Confounding events can cause false positives when testing the relationship between short-term returns around a quasi-experimental event and firm characteristics. We show that this risk is severe in practice —returncharacteristic relationships are often statistically significant at the 1% level on over 30% of all trading days. Benchmarking a relationship against the distribution of the same relationship on pre-event days is effective at addressing the problem. We introduce a novel GLS variation of this approach that achieves large gains in statistical power relative to OLS and provide Stata and Python modules that implement both procedures.

Past-is-prologue--Inference-from-the-cross-section-_2026_Journal-of-Financia.pdf

61. Patents that match your standards: Firm-level evidence on competition, innovation and growth

Authors: Antonin Bergeaud, Julia Schmidt, Riccardo Zago

DOI: [10.1016/j.jfineco.2026.104281](https://doi.org/10.1016/j.jfineco.2026.104281)

Fields & Theories:

- **Fields:** Corporate Finance, Innovation, Industrial Organization
- **Theories:** Competitive Advantage, Standardization, Semantic Analysis

Abstract:

When a technology becomes the new standard, the firms that are leaders in producing this technology gain a competitive advantage. Matching the semantic content of patents to standard documents, we show that firms closer to the new technology standard increase their market share and sales. In addition, if they operate in a competitive market, these firms also increase their R&D expenditure. Yet, these effects are temporary since standardization creates a common technological basis for everyone, which allows followers to catch up and the economy to grow.

Patents-that-match-your-standards--Firm-level-evidenc_2026_Journal-of-Financ.pdf

62. Picking partners: Manager selection in private markets

Authors: Amit Goyal, Sunil Wahal, M. Deniz Yavuz

DOI: [10.1016/j.jfineco.2026.104250](https://doi.org/10.1016/j.jfineco.2026.104250)

Fields & Theories:

- **Fields:** Financial Intermediation, Private Equity, Asset Management
- **Theories:** Manager Selection, Performance Chasing, Information Asymmetry

Abstract:

We study the selection of private market managers (GPs) for over 61,000 capital commitments by institutional investors (LPs) from a feasible opportunity set. LPs chase past performance but also seem surprisingly willing to invest in GPs without a track record: the probability that LPs select first-time or young GPs is quantitatively similar to GPs in the highest quartile of past performance. The most plausible explanation is that there is demand for exposure to private markets that is not fulfilled by incumbent GPs. The proclivity to invest in first-time or young GPs is not associated with higher future performance.

Picking-partners--Manager-selection-in-private_2026_Journal-of-Financial-Eco.pdf

63. Policy news and stock market volatility

Authors: Scott R. Baker, Nicholas Bloom, Steven J. Davis, Kyle Kost

DOI: [10.1016/j.jfineco.2025.104187](https://doi.org/10.1016/j.jfineco.2025.104187)

Fields & Theories:

- **Fields:** Asset Pricing, Financial Econometrics, Information and Market Efficiency
- **Theories:** Textual Analysis, Volatility Tracking, Policy Uncertainty

Abstract:

We use newspapers to create Equity Market Volatility (EMV) trackers at daily and monthly frequencies. Our headline EMV tracker moves closely with the VIX and the S&P500 returns volatility in and out of sample. We exploit the volume of newspaper text to construct forty category-specific EMV trackers. News about commodity markets, interest rates, real estate markets, aggregate activity, and inflation figure prominently in EMV articles. Policy news is another major source of market volatility: 30 % of EMV articles discuss tax policy, 30 % discuss monetary policy, and 25 % refer to some form of regulation. Combining our newspaper-based trackers with textual analysis of 10-K filings, we obtain monthly firm-level risk exposure measures. These measures help explain the cross-sectional structure of realized volatilities and its evolution over time, even after conditioning on firm and time fixed effects.

Policy-news-and-stock-market-volatility_2026_Journal-of-Financial-Economics.pdf

64. Policy uncertainty reduces green innovation

Authors: Mengyu Wang, Jeffrey Wurgler, Hong Zhang

DOI: [10.1016/j.jfineco.2025.104189](https://doi.org/10.1016/j.jfineco.2025.104189)

Fields & Theories:

- **Fields:** Corporate Finance, ESG/Sustainable Finance, Public Finance
- **Theories:** Policy Uncertainty, Real Options Theory, Instrumental Variables

Abstract:

Policy uncertainty can undermine the power of government subsidies to stimulate environmentally friendly research and development. We show that Chinese firms' green R&D falls as the uncertainty of environmental subsidies rises: Exogenous, weather-driven air pollution variability induces subsidies to fluctuate, and firms in areas with high weather-driven subsidy variability undertake less green R&D and hire fewer technical employees, controlling for the average level of subsidies. Heavy emitters and environmental technology firms are more affected. The results also illustrate how policy uncertainty can arise when policymakers are influenced by conditions that are salient but with causes that are difficult to disentangle.

Policy-uncertainty-reduces-green-innovation_2026_Journal-of-Financial-Economics.pdf

65. Prospect theory in the field: Revealed preferences from mutual fund flows

Authors: Bing Han, Pengfei Sui, Wenhao Yang

DOI: [10.1016/j.jfineco.2025.104221](https://doi.org/10.1016/j.jfineco.2025.104221)

Fields & Theories:

- **Fields:** Behavioral Finance, Asset Management, Household Finance
- **Theories:** Prospect Theory, Revealed Preference, Discrete Choice Model

Abstract:

Using mutual fund flows, we evaluate prospect theory with choice outcomes in the market. We provide strong support for prospect theory: under a standard set of parameters, funds whose past returns generate higher prospect theory value attract significantly larger future flows; we also find corroborative evidence using account-level data. Taking a revealed preference approach, we estimate the prospect theory parameters through a discrete choice model and find that our field-based estimates align well with previous experiment-based estimates. Moreover, we show that prospect theory offers a new framework for understanding flows, as it has explanatory power beyond existing drivers.

Prospect-theory-in-the-field--Revealed-preferences_2026_Journal-of-Financial.pdf

66. Public goods under financial distress

Authors: Pawel Janas

DOI: [10.1016/j.jfineco.2025.104205](https://doi.org/10.1016/j.jfineco.2025.104205)

Fields & Theories:

- **Fields:** Public Finance, Financial Intermediation, Economic History
- **Theories:** Financial Frictions, Austerity, Debt Overhang

Abstract:

I examine the effects of public debt on municipal services and real outcomes during financial crises using a unique archival dataset of U.S. cities from 1924 to 1943. Unlike today's countercyclical fiscal policies, the Great Depression provides a rare setting to observe fiscal shocks without substantial intergovernmental or Federal Reserve support. My findings show that financial market frictions—especially the need to refinance debt—led cities to sharply cut expenditures, particularly on capital projects and police services. As urban development halted during the Depression, cities with high pre-crisis debt levels faced significant austerity pressures, a decline in population growth, a rise in crime, and a departure of skilled public servants from municipal governments.

Public-goods-under-financial-distress_2026_Journal-of-Financial-Economics.pdf

67. Reaching for influence: Do banks use loans to establish political connections?

Authors: Mahsa Kaviani, Hosein Maleki, Pavel Savor

DOI: [10.1016/j.jfineco.2026.104333](https://doi.org/10.1016/j.jfineco.2026.104333)

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Corporate Finance, Political Economy
- **Theories:** Regulatory Capture, Agency Theory, Quid Pro Quo, Information Asymmetry

Abstract:

Using close elections as an empirical setting, this paper examines the drivers and consequences of politically motivated lending by U.S. banks, with a special focus on resulting benefits. We first show that firms with ties to members of Congress receive more favorable loan terms, despite no observable improvements in performance or default risk. The effect is especially pronounced among banks facing regulatory challenges—such as FDIC enforcement actions, corporate misconduct investigations, or low Community Reinvestment

Act ratings—which also lend more frequently to connected firms, suggesting that these institutions have a heightened demand for political influence. Crucially, we find that politically motivated lending produces tangible future benefits for banks, including reduced misconduct penalties and easier approval for mergers and acquisitions. These findings provide evidence of a quid pro quo dynamic: banks extend preferential credit to firms with political connections and, in turn, receive regulatory advantages.

Reaching-for-influence--Do-banks-use-loans-to-estab_2026_Journal-of-Financia.pdf

68. Regional Banks, Aggregate Effects

Authors: Quinn Maingi

DOI: [10.1016/j.jfineco.2025.104226](https://doi.org/10.1016/j.jfineco.2025.104226)

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Macro-Finance
- **Theories:** Quantitative Spatial Model, General Equilibrium, Bank Runs

Abstract:

I develop and estimate a quantitative spatial model featuring banks' spatial lending networks to study the real effects of bank funding shocks. I apply the model to the 2023 regional bank panic. I show that, during the panic, deposits were reallocated towards regional banks with better marginal lending opportunities, which offered higher deposit rates. This reallocation substantially mitigated the otherwise negative aggregate output effects of the remaining, panic-related deposit flows. This positive reallocation effect is primarily driven by inflows into banks with good lending opportunities, suggesting that fundamental forces, rather than panic-driven idiosyncratic runs, are behind the positive reallocation effect.

Regional-Banks--Aggregate-Effects_2026_Journal-of-Financial-Economics.pdf

69. Retail option traders and the implied volatility surface

Authors: Gregory W. Eaton, T. Clifton Green, Brian S. Roseman, Yanbin Wu

DOI: [10.1016/j.jfineco.2026.104238](https://doi.org/10.1016/j.jfineco.2026.104238)

Fields & Theories:

- **Fields:** Asset Pricing, Derivatives, Behavioral Finance, Market Microstructure
- **Theories:** Demand-Based Option Pricing, Limits to Arbitrage, Natural Experiment

Abstract:

Retail option traders are typically net purchasers of short-dated options, especially out-of-the-money contracts, whereas they frequently sell long-dated options. Using retail brokerage platform outages as shocks to trading, we find that outages are associated with commensurate demand shocks to implied volatility. Outages produce lower implied volatility on average, with stronger reductions for options that tend to be purchased by retail investors. In contrast, implied volatility increases for long-dated options during outages, consistent with reduced retail writing activity. The findings suggest that retail demand pressure can have important effects on the implied volatility term structure, moneyness curve, and call-put spread.

Retail-option-traders-and-the-implied-volatili_2026_Journal-of-Financial-Eco.pdf

70. Richer earnings dynamics, consumption and portfolio choice over the life cycle

Authors: Julio Gálvez, Gonzalo Paz-Pardo

DOI: [10.1016/j.jfineco.2025.104206](https://doi.org/10.1016/j.jfineco.2025.104206)

Fields & Theories:

- **Fields:** Household Finance, Asset Pricing, Labor Economics
- **Theories:** Life-Cycle Model, Portfolio Choice Theory, Background Risk, Structural Estimation

Abstract:

Households face earnings risk which is non-normal and varies by age and over the income distribution. We show that allowing for rich features of earnings dynamics, in the context of a structurally estimated life-cycle portfolio choice model, helps to rationalize the limited stock market participation and the low risky asset holdings of households. Because people are subject to more background risk than previously considered, the estimated model implies a substantially lower coefficient of risk aversion and lower stock market participation costs. Older workers and higher earners are exposed to negatively skewed risk and choose lower stock exposures.

Richer-earnings-dynamics--consumption-and-portfolio_2026_Journal-of-Financia.pdf

71. Risk-averse dealers in a risk-free market—The role of trading desk risk limits

Authors: Dan Li, Lubomir Petrasek, Mary Tian

DOI: [10.1016/j.jfineco.2026.104290](https://doi.org/10.1016/j.jfineco.2026.104290)

Fields & Theories:

- **Fields:** Financial Intermediation, Market Microstructure, Asset Pricing
- **Theories:** Value-at-Risk (VaR), Intermediary Asset Pricing, Liquidity Provision

Abstract:

We show that self-imposed risk limits significantly constrain dealers' risk-taking and Treasury market intermediation, especially during market stress. Dealers near value-at-risk (VaR) limits reduce positions and demand higher compensation for risk. During March 2020, constrained dealers sold more Treasuries to the Fed at lower prices and provided less liquidity to clients. An aggregate measure of dealer VaR constraints closely tracks Treasury market illiquidity. Our findings offer a micro-foundation for the volatility–liquidity link and show that, in crises, policy actions that remove risk from intermediary balance sheets may be more effective at supporting Treasury market functioning than regulatory relief.

Risk-averse-dealers-in-a-risk-free-market-The-role-_2026_Journal-of-Financia.pdf

72. Securing technological leadership? The cost of export controls on firms

Authors: Matteo Crosignani, Lina Han, Marco Macchiavelli, André F. Silva

DOI: [10.1016/j.jfineco.2025.104192](https://doi.org/10.1016/j.jfineco.2025.104192)

Fields & Theories:

- **Fields:** Corporate Finance, International Finance, Public Finance
- **Theories:** Supply Chain Risk, Event Study, Trade Policy Analysis

Abstract:

To safeguard its technological leadership, the U.S. has restricted domestic suppliers from exporting cutting-edge technologies to selected Chinese firms. Domestic firms affected by these export controls halt sales to Chinese customers, as intended, but struggle to establish new relations with alternative customers domestically or in politically aligned regions. Consequently, domestic suppliers experience sizable losses in market capitalization, along with reductions in profitability, employment, and bank lending. Chinese firms are more proactive in reconfiguring supply chains, though not without costs. Overall, export controls impose larger costs on U.S.

Securing-technological-leadership--The-cost-of-exp_2026_Journal-of-Financial.pdf

73. Sequential credit markets

Authors: Ulf Axelson, Igor Makarov

DOI: [10.1016/j.jfineco.2025.104216](https://doi.org/10.1016/j.jfineco.2025.104216)

Fields & Theories:

- **Fields:** Financial Intermediation, Corporate Finance, Information Economics
- **Theories:** Adverse Selection, Information Asymmetry, Search Theory

Abstract:

Entrepreneurs typically seek financing in decentralized markets, where they approach investors sequentially. We develop a model of sequential capital markets with privately informed investors. The sequential market creates a dynamic adverse selection externality that leads to overinvestment and excessive rents to intermediaries, even as the number of competing investors becomes arbitrary large. The resulting rents lead to excessive entry of investors and insufficient entry of entrepreneurs. Moving to a centralized market structure or reducing transparency restores competitiveness but may harm efficiency. The model also explains how even a small skill advantage for an investor can lead to preferential deal flow and outsized returns.

Sequential-credit-markets_2026_Journal-of-Financial-Economics.pdf

74. Social media as a bank run catalyst

Authors: J. Anthony Cookson, Corbin Fox, Javier Gil-Bazo, Juan F. Imbet, Christoph Schiller

DOI: [10.1016/j.jfineco.2025.104218](https://doi.org/10.1016/j.jfineco.2025.104218)

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Behavioral Finance
- **Theories:** Bank Runs, Information Cascades, Attention Theory

Abstract:

After the run on Silicon Valley Bank (SVB) in March 2023, U.S. regional banks entered a period of significant distress. We quantify social media's role in this distress using comprehensive Twitter data. During the SVB run period, banks with high pre-existing exposure to Twitter lost 4.3 percentage points more stock market value. Moreover, Twitter pre-exposure interacts significantly with classical run risks to predict greater run severity and greater deposit outflows during Q1-2023, effects unexplained by other banking or market characteristics. At the hourly frequency during the run, high Twitter attention over the past four hours predicts stock market losses, especially for banks with high run risks. By contrast, we find that negative Twitter sentiment does not amplify bank run risks. Rather, our evidence points to a distinctive role of Twitter attention, particularly when tweets are retweeted broadly.

Social-media-as-a-bank-run-catalyst_2026_Journal-of-Financial-Economics.pdf

75. Sustainable investing and market governance

Authors: Alvin Chen, Deeksha Gupta, Jan Starmans

DOI: [10.1016/j.jfineco.2026.104273](https://doi.org/10.1016/j.jfineco.2026.104273)

Fields & Theories:

- **Fields:** ESG/Sustainable Finance, Corporate Finance, Asset Pricing
- **Theories:** Agency Theory, Price Informativeness, Externalities

Abstract:

This paper examines how sustainable investing affects the governance role of financial markets. We show that stronger concerns about externalities among informed investors can reduce price informativeness about managerial effort to improve financial performance, increasing the cost of incentive provision. This mechanism creates an inherent link between firms' environmental and social (ES) and governance quality. We show that the agency costs of sustainable investing can have real effects on ES outcomes when firms can change their externalities.

Sustainable-investing-and-market-governanc_2026_Journal-of-Financial-Economi.pdf

76. The benchmark greenium

Authors: Stefania D' Amico, Johannes Klausmann, N. Aaron Pancost

DOI: [10.1016/j.jfineco.2025.104217](https://doi.org/10.1016/j.jfineco.2025.104217)

Fields & Theories:

- **Fields:** Asset Pricing, ESG/Sustainable Finance, Fixed Income
- **Theories:** Dynamic Term Structure Model, Convenience Yield, Investor Preferences

Abstract:

Exploiting the 'twin' structure of German government green and conventional securities, we use a dynamic term structure model to estimate a time-varying greenium stemming solely from investors' green values and not their cash flow expectations. This greenium is distinct from the yield spread between the twin securities (the green spread), as the model purifies it from pecuniary and non-pecuniary factors unrelated to environmental concerns. While the green spread correlates with stock market prices, the conventional convenience yield, and temporary demand-supply imbalances, our greenium correlates only with proxies of environmental concerns.

The-benchmark-greenium_2026_Journal-of-Financial-Economics.pdf

77. The canary in the coal decline: Appalachian household finance and the transition from fossil fuels

Authors: Joshua Blonz, Brigitte Roth Tran, Erin Troland

DOI: [10.1016/j.jfineco.2025.104167](https://doi.org/10.1016/j.jfineco.2025.104167)

Fields & Theories:

- **Fields:** Household Finance, ESG/Sustainable Finance, Credit Risk
- **Theories:** Instrumental Variables, Financial Distress, Spillover Effects

Abstract:

We use individual-level credit data to study how recent declines in Appalachian coal mining affected household finances between 2011 and 2018. Using exogenous variation in electricity sector demand for coal, we find declines in coal demand decreased credit scores and increased financial distress within two years of coal shocks. These effects cannot be explained solely by job losses in coal mine worker households. Credit score declines and financial distress were largest among older individuals and people with lower-middle credit scores. Our results suggest the transition away from fossil fuels may impose meaningful costs on other fossil fuel extraction communities.

The-canary-in-the-coal-decline--Appalachian-household-_2026_Journal-of-Finan.pdf

78. The co-pricing factor zoo

Authors: Alexander Dickerson, Christian Julliard, Philippe Mueller

DOI: [10.1016/j.jfineco.2026.104295](https://doi.org/10.1016/j.jfineco.2026.104295)

Fields & Theories:

- **Fields:** Asset Pricing, Fixed Income, Empirical Asset Pricing
- **Theories:** Stochastic Discount Factor, Bayesian Model Averaging, Factor Models

Abstract:

We analyze 18 quadrillion models for the joint pricing of corporate bond and stock returns. Strikingly, we find that equity and nontradable factors alone suffice to explain corporate bond risk premia once their Treasury term structure risk is accounted for, rendering the extensive bond factor literature largely redundant for this purpose. While only a handful of factors, behavioral and nontradable, are likely robust sources of priced risk, the true latent stochastic discount factor is dense in the space of observable factors. Consequently, a Bayesian

Model Averaging Stochastic Discount Factor explains risk premia better than all low-dimensional models, in- and out-of-sample, by optimally aggregating dozens of factors that serve as noisy proxies for common underlying risks, yielding an out-of-sample Sharpe ratio of 1.5 to 1.8. This SDF, as well as its conditional mean and volatility, are persistent, track the business cycle and times of heightened economic uncertainty, and predict future asset returns.

The-co-pricing-factor-zoo_2026_Journal-of-Financial-Economics.pdf

79. The impact of introducing a (nearly) redundant security: Evidence from Malaysian corporate bonds

Authors: Antje Berndt, Jean Helwege, Amanda Liu, Frank Packer

DOI: [10.1016/j.jfineco.2026.104310](https://doi.org/10.1016/j.jfineco.2026.104310)

Fields & Theories:

- **Fields:** Corporate Finance, International Finance, Financial Intermediation
- **Theories:** General Equilibrium, Clientele Effects, Market Frictions, Participation Constraints

Abstract:

We develop a general equilibrium model in which firms issue nearly redundant securities to investor clienteles with participation constraints, with prices and demand determined endogenously in primary and secondary markets. The model characterizes how issuance costs, market frictions, and investor composition shape firms' funding choices, equilibrium prices, and asset allocations. We test the model's predictions using data from the Malaysian corporate bond market following the introduction of Islamic bonds. Consistent with the model, issuance decisions reflect trade-offs between collateral and liquidity benefits, Islamic and conventional bonds coexist without crowding out, and the expanded investor base increases access to debt financing.

The-impact-of-introducing-a--nearly--redundant-securit_2026_Journal-of-Finan.pdf

80. The incentives of SPAC sponsors

Authors: Felix Feng, Tom Nohel, Xuan Tian, Wenyu Wang, Yufeng Wu

DOI: [10.1016/j.jfineco.2025.104220](https://doi.org/10.1016/j.jfineco.2025.104220)

Fields & Theories:

- **Fields:** Corporate Finance, Financial Intermediation, Financial Regulation
- **Theories:** Structural Estimation, Agency Theory, Contract Theory, Information Asymmetry

Abstract:

Special Purpose Acquisition Companies (SPACs) took Wall Street by storm in 2020/2021 and continue to play a significant role in today's capital markets. Estimating a structural model using a hand-collected comprehensive dataset, we find that SPACs add value by identifying and bringing high-potential firms to public markets, though contractual frictions skew the distribution of spoils away from SPAC shareholders and towards sponsors and target owners. Nonetheless, shareholder excess returns are positive once redemptions are accounted for. Policy analyses reveal that earnout provisions enhance welfare, while modest improvements in disclosure and limits on warrant usage have minimal impact on improving outcomes.

The-incentives-of-SPAC-sponsors_2026_Journal-of-Financial-Economics.pdf

81. The secular decline in interest rates and the rise of shadow banks

Authors: Andrés Sarto, Olivier Wang

DOI: [10.1016/j.jfineco.2025.104228](https://doi.org/10.1016/j.jfineco.2025.104228)

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Shadow Banking, Monetary Policy

- **Theories:** Net Interest Margin Squeeze, Shift-Share Design, Funding Advantage, Zero Lower Bound

Abstract:

Over the past two decades, shadow banks have significantly expanded their share of residential mortgage lending, even surpassing pre-financial crisis levels. This surge is often attributed to post-crisis regulatory changes and improvements in shadow banks' technology. In this paper, we document a new driving force: the persistent decline in interest rates. When interest rates are high, cheap deposit funding provides banks with a significant competitive advantage against shadow banks relying on wholesale funding. As interest rates plummet and approach the zero lower bound, banks lose this advantage, experience a squeeze in their net interest margin, leading to diminished profitability, weaker growth, and cost-cutting measures such as branch closures. By contrast, shadow banks are able to gain market share. We test this mechanism using a shift-share empirical design based on differences in historical bank balance sheet composition. We find that banks more vulnerable to falling interest rates contracted lending as a response to lower profitability while also scaling back non-interest expenses on their branches. This created a fertile environment for non-banks to expand in areas with banks exposed to declining interest rates.

The-secular-decline-in-interest-rates-and-the-ris_2026_Journal-of-Financial-.pdf

82. Trade credit and relationships

Authors: Felipe Benguria, Alvaro Garcia-Marin, Tim Schmidt-Eisenlohr

DOI: [10.1016/j.jfineco.2026.104320](https://doi.org/10.1016/j.jfineco.2026.104320)

Fields & Theories:

- **Fields:** Corporate Finance, International Finance, Financial Intermediation
- **Theories:** Relationship Lending, Trade Credit, Contract Enforcement, Information Asymmetry

Abstract:

Exploiting transaction-level international trade data, this paper documents that long-term firm-to-firm relationships facilitate the use of trade credit, with the strength of this effect varying with firm size, firms' payment delays, and multinational affiliate status. Effects also depend on the strength of contract enforcement across countries and the complexity of products traded. Because trade credit can reduce the overall need to borrow from the financial sector, long-term relationships may reduce firms' credit demand. The destruction of trade relationships, for example, through trade conflicts, may hence increase firms' leverage.

Trade-credit-and-relationships_2026_Journal-of-Financial-Economics.pdf

83. Which investors drive anomaly returns and how?

Authors: Yizhang Li, Stanislav Sokolinski, Andrea Tamoni

DOI: [10.1016/j.jfineco.2026.104257](https://doi.org/10.1016/j.jfineco.2026.104257)

Fields & Theories:

- **Fields:** Asset Pricing, Behavioral Finance, Household Finance
- **Theories:** Demand System Asset Pricing, Investor Heterogeneity, Market Anomalies, Information Processing Biases

Abstract:

We decompose variation in anomaly returns across investor types and trading motives, linking returns to holdings within a demand system. Fundamental-based trading is the primary driver of anomalies, and both this channel and non-fundamental trading are driven disproportionately by small investors. Institution-led channels —flows and industry tilts —are secondary and concentrated in specific anomalies. These patterns favor theories with heterogeneous investors and distinct trading behaviors over pure flow- or risk-only explanations. Small investors account for a large share of the cash-flow news component of fundamentals-based trading, suggesting that biases in processing information play a role in anomaly returns.

84. Windfall income shocks with finite planning horizons

Authors: Michael Boutros

DOI: [10.1016/j.jfineco.2025.104174](https://doi.org/10.1016/j.jfineco.2025.104174)

Fields & Theories:

- **Fields:** Household Finance, Behavioral Finance, Macro-Finance
- **Theories:** Bounded Rationality, Finite Planning Horizon, Marginal Propensity to Consume, Costly Reoptimization

Abstract:

I study how the cognitive demands of financial planning shape household decisionmaking with respect to consumption out of windfall income shocks. I build a quantitative model of bounded rationality in which reoptimization is costly. Households respond to windfall income shocks by choosing a finite planning horizon over which to reoptimize, and the optimal planning horizon is increasing in wealth and the magnitude of the income shock. Calibrated to U.S. data, the model's distribution of consumption responses is consistent with three key facts: even highly liquid households have large consumption responses out of income shocks, the fraction of households with positive consumption responses increases with shock size, and conditional on responding, larger shocks generate smaller consumption responses.

Windfall-income-shocks-with-finite-planning-h_2026_Journal-of-Financial-Econ.pdf
